

EG United States, China: Targeted bilateral tariff reductions likely centerpiece of September summit

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Targeted bilateral tariff reductions likely centerpiece of September summit

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- * The US-China Board of Trade (BOT) will likely deliver reciprocal tariff reductions at the September summit when President Xi Jinping visits the US.
 - * China's Ministry of Commerce (MOFCOM) has indicated that US agriculture and energy exports are early targets for tariff relief, while the US will probably lower tariffs on low-tech consumer goods from China.
 - * Beijing will tolerate Section 301 tariffs up to a 20% nominal rate—which would probably put the overall effective rate at roughly 30—as a like-for-like replacement of the previous tariff wall, but anything above that threshold would likely trigger a one-off reciprocal hike.

Targeted tariff relief expected to be key deliverable for September summit. The BOT, formally established during President Donald Trump's May visit to Beijing, has an initial objective to reduce tariffs on approximately \$30 billion in "nonsensitive" bilateral exports per side. The definition of nonsensitive goods is largely driven by US criteria, with China imposing few substantive constraints beyond sector-by-sector reciprocity.

With BOT discussions underway, recent MOFCOM announcements indicate that agricultural products will be a primary focus of reciprocal tariff reductions, with energy products also a possible target sector. A notice from the Office of the US Trade Representative (USTR) points to the elimination of all Section 301 tariffs on the tranche of goods Washington ultimately selects for reduction. While that would still be small relative to last year's \$414 billion in bilateral goods trade (based on US data), it would be very significant for the targeted \$30 billion.

USTR will shape its tariff reduction list based on security concerns. The agency's initial public comment period on goods to consider for lower rates closed on 10 July, with rebuttals due by 27 July. Submissions so far have reflected very divergent views. While some industry groups advocate for tariff relief in priority sectors such as agriculture, consumer goods, and intermediate inputs, others are using the process to highlight concerns over China's compliance with existing trade commitments. It is also

likely that USTR will base part of its definition of nonsensitive Chinese exports on List 4A of the old Section 301 from the first Trump administration, which largely consists of low-tech consumer goods.

BOT is unlikely to expand to address nontariff barriers. Some public comments have urged USTR to use the mechanism to tackle structural disagreements, such as China's discriminatory industrial policies and import substitution practices. However, this is unlikely to gain traction given Beijing's longstanding reluctance to negotiate on these issues. Additionally, while the BOT could in theory expand tariff relief beyond \$60 billion and broaden the scope of nonsensitive goods to include more sectors, this would only happen after successful implementation of the initial tariff cuts. Eurasia Group does not expect further tariff reductions through the BOT before the trade truce is extended near the end of the year.

BOT is also unlikely to replace rounds of trade talks. It will instead run parallel to them. High-level talks on the Chinese side are led by Vice Premier He Lifeng, while the BOT and Board of Investment (BOI) operate at the relatively more junior ministerial level led by MOFCOM and Ministry of Finance, respectively. On the US side, USTR leads BOT discussions, while Treasury oversees the BOI. Another round of high-level negotiations—potentially involving Treasury Secretary Scott Bessent, USTR Jamieson Greer, and He—could take place ahead of Xi's September visit to the US, just as the Paris trade talks preceded Trump's visit to Beijing.

Beijing has a clear threshold for retaliating against new US tariffs. Chinese commerce officials believe that the Trump administration's rebuilt tariff wall on Chinese goods will not exceed 20%. This number is based on the nominal rate under the International Emergency Economic Powers Act (IEEPA) before the US Supreme Court struck it down in February, with 10% based on the reciprocal rate and 10% on the reduced fentanyl rate from the trade truce last October.

The new Section 301 forced labor measure imposed a 12.5% rate on Chinese exports on 24 July, just as the Section 122 tariffs expired. As a result, any additional tariff from the 301 excess capacity investigation above roughly 7.5% would, from Beijing's perspective, cross the line and trigger retaliation. If the two new 301 investigations together ultimately add up to a 20% nominal rate, Eurasia Group's current methodology would put the effective tariff rate on China at roughly 30% (accounting for all concurrent measures). That would still be below the approximately 35% level that prevailed before the IEEPA ruling, given the narrower scope of 301 tariffs compared to IEEPA's universal application.

Even if the combined nominal tariff rate of the two Section 301 probes exceeds 20%, we expect China's response to remain calibrated to a one-off reciprocal tariff hike, instead of an expansion of nontariff measures such as export controls (see: US tariffs on China likely to rise slightly without triggering escalation , 22 April 2026). This aligns with our post-summit view that US tariffs on China can rise toward IEEPA levels without prompting an escalatory response from Beijing (see: US tariff on China likely to land close to emergency-powers rate , 8 June 2026).

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